CONCLUSIONS

Probably the best way to summarize life insurance by cost and type is to look at how much money is available to purchase what you need.

Most young families can afford only term life insurance. Term is much less expensive than cash value insurance at the younger age when the need is high but the income is limited. The older the person is when selecting insurance, the more costly the term policy. But so is a cash value policy when purchased at an older age. You can get the best value by purchasing term and saving the difference. However, the practical truth is, most people don't save the difference; they spend it. When they get to be 50 or older, their term insurance can get to be prohibitively expensive.

My direction for the couples I counsel is: buy term because you cannot afford whole life. But, if by the age of 40 you have not been self-disciplined enough to save the difference that the cash value would have cost, then convert to a whole-life plan.

HOW MUCH LIFE INSURANCE?

"How much is enough?" is a difficult question to answer precisely. There are many variables within each family that must be considered, such as: the age of the children, the wife's income capability, existing debts, current lifestyle and income, and any other sources of after-death income besides life insurance. One family may wish to supply enough insurance to live off interest income alone while another may wish to provide for a specific number of years. These decisions are important and should be made mutually by husband and wife.

One method to help you evaluate how much insurance you need is based on present income and spending. Once you have begun to budget and have peace that it is God's plan for your family, the same income would probably be necessary in the event of the wage earner's death.

Using the following guide, we will assume that a man dies, leaving a wife and two young children. His annual income had been $24,000. He had no large investment plan and only a